

By **Kris Gopalakrishnan**

LEADING THE WORLD OF INFOTECH

From IT services to AI, India is poised to lead the world's digital revolution through strategic investments and innovative policies



Illustration by **NILANJAN DAS**

In my book, *Against All Odds*, I chronicled the remarkable story of the Indian information technology industry. From just one computer in the country in the mid-1950s, we have come a long way to become the IT capital of the world. In 2024, this industry brought in over $250 billion (Rs 21 lakh crore) of revenues and contributed 7-8 per cent to the country's GDP. As we stride confidently into the new digital age, the prospects of expanding this digital economy are bright and immense. I will discuss five such pillars that can support this growth:

1. Opportunities for revenue expansion: The first pillar focuses on leveraging and scaling up India's existing strengths in IT services and engineering R&D. As newer technologies such as Generative AI, 6G and industrial metaverse take centre stage, the opportunities in integrating and migrating business systems to these emerging technological paradigms are immense. According to some analysts, AI is expected to add $15.7 trillion (Rs 1,318 lakh crore) to the global economy, and global GDP could increase by 14 per cent by 2030. In India, we are already seeing companies create new services around data curation and cleansing, and train machine learning algorithms for global customers. Other new allied services include those for posting and monitoring content and achieving geographical and sectoral expansions. To support these expansions, policy reforms must continue—Special Economic Zones (SEZs), Software Technology Parks (STPs) and labour law support for new services, verticals and startups. Finally, we must maintain a stable and predictable policy environment for attracting long-term investments.

2. New opportunities for revenue creation: The second pillar identifies numerous new opportunities for revenue creation. Product startups and SaaS (Software as a Service) applications, particularly in healthcare, insurance, education and digital commerce, hold significant promise. The creative and digital content sectors, including animation, gaming and content creation, are ripe for innovation. Startups in blockchain-based digital assets, geospatial and data

THE GIANT STEPS

- **Leverage emerging tech like Generative AI, 6G and industrial metaverse for revenue expansion**
- **Foster a vibrant startup ecosystem and deep-tech innovation through funding, mentorship and favourable policies**
- **Invest in brand- and capacity-building initiatives across IT, creative, R&D and digital sectors**
- **Prioritise societal impact through digital public infrastructure like Aadhaar, UPI and ONDC**